

United States 2018

1 Survey Description

Survey: The Panel Study of Income Dynamics (PSID) is the longest longitudinal household survey in the world. The Study started in 1968 and is currently being developed by the University of Michigan. It includes data related to employment, income, wealth, expenditures, health, marriage, childbearing, child development, philanthropy, education, and other topics. This document refers specifically to the data collected in 2014.

Link to the document: <https://simba.isr.umich.edu/data/data.aspx>

Sample: The sample of the PSID was originally composed of approximately 18,000 people in 5,000 households, making it a representative sample of the entire country. This sample was complemented with a non-representative oversample of low-income families to facilitate the investigation of issues related to poverty and vulnerability. Over the years, the sample size has changed as the number of members in the families considered originally has grown.. There are 12,546 individuals in the total sample and 9,096 individuals in the analysis sample. Section 3 of this document describes the prevalence and pattern of missing data.

Weights: Population weights are computed as the ratio between specific weights for the Panel Study of Income Dynamics (PSID) and the Current Population Survey (CPS). These weights, based on sex, age, and ethnicity, are tailored for different demographic groups. Age groups are formed, and missing values are imputed using historical data. The process ensures a more representative combined dataset for analysis.

Outcome: The outcome variables are annual equivalized household disposable total (*eq_iinc*) income in dollars PPP 2017.¹

Circumstances:

- Race/Ethnicity (white, black, american indian, aleut, eskimo, asian, pacific islander, hispanic and others described in Table 1)
- Sex (female, male)
- Region of upbringing (6 categories described in Table 1)
- Fathers's edu. (years of education, described in Table 2)
- Mother's edu. (years of education, described in Table 2)
- Father's occ. (3 categories, High: includes ISCO 1, 2 and 3, Medium: includes ISCO 4, 5 and 6, and Low: ISCO 7, 8, 9 and 0, described in Table 3)
- Mother's occ. (3 categories, High: includes ISCO 1, 2 and 3, Medium: includes ISCO 4, 5 and 6, and Low: ISCO 7, 8, 9 and 0, described in Table 3)

¹Income variable was equivalized using the square root scale.

2 Descriptive Statistics

Table 1: Respondant's socio-demographics - 2018

	Analysis sample	Total sample
	(N=9,096)	(N=12,546)
Gender		
0 Male	5,147 (56.6%)	6,937 (55.3%)
1 Female	3,949 (43.4%)	5,609 (44.7%)
Ethnicity		
1 White	5,806 (63.8%)	7,213 (57.5%)
2 Black	2,860 (31.4%)	4,559 (36.3%)
3 Am. Indian, Aleut, Eskimo	47 (0.5%)	76 (0.6%)
4 Asian, Pac. Islander	37 (0.4%)	58 (0.5%)
5 Hispanic	316 (3.5%)	509 (4.1%)
7 Other	30 (0.3%)	56 (0.4%)
Missing	0 (0%)	75 (0.6%)
Region of upbringing		
1 Northeast	1,434 (15.8%)	1,810 (14.4%)
2 North central	2,699 (29.7%)	3,608 (28.8%)
3 South	3,540 (38.9%)	5,104 (40.7%)
4 West	1,286 (14.1%)	1,664 (13.3%)
5 Alaska, Hawaii	11 (0.1%)	16 (0.1%)
6 Foreign country	126 (1.4%)	184 (1.5%)
Missing	0 (0%)	160 (1.3%)

Table 2: Parental education - 2018

	Analysis sample	Total sample
	(N=9,096)	(N=12,546)
Father's education (levels)		
1 0-5 Grades	246 (2.7%)	472 (3.8%)
2 6-8 Grades	888 (9.8%)	1,047 (8.3%)
3 9-11 Grades	919 (10.1%)	1,179 (9.4%)
4 High school	3,346 (36.8%)	4,640 (37.0%)
5 12 Grades + non academic training	521 (5.7%)	666 (5.3%)
6 Some College	1,114 (12.2%)	1,351 (10.8%)
7 College degree	1,261 (13.9%)	1,547 (12.3%)
8 Advanced College degree	801 (8.8%)	922 (7.3%)
Missing	0 (0%)	722 (5.8%)
Mother's education (levels)		
1 0-5 Grades	178 (2.0%)	376 (3.0%)
2 6-8 Grades	536 (5.9%)	680 (5.4%)
3 9-11 Grades	894 (9.8%)	1,188 (9.5%)
4 High school	3,546 (39.0%)	4,916 (39.2%)
5 12 Grades + non academic training	549 (6.0%)	689 (5.5%)
6 Some College	1,507 (16.6%)	1,956 (15.6%)
7 College degree	1,279 (14.1%)	1,686 (13.4%)
8 Advanced College degree	607 (6.7%)	741 (5.9%)
Missing	0 (0%)	314 (2.5%)

Table 4: Respondant's income - 2018

	N	Mean	SD	Median	Min	Max	Missing
Analysis sample	9,096	48,176	48,240	37,728	-236,639	908,770	0
Total sample	12,546	43,406	44,643	33,210	-236,639	908,770	0

Table 3: Parental occupation - 2018

	Analysis sample	Total sample
	(N=9,096)	(N=12,546)
Father's occupation (ISCO)		
1 Low	2,925 (32.2%)	3,237 (25.8%)
2 Middle	3,377 (37.1%)	3,616 (28.8%)
3 High	2,794 (30.7%)	2,984 (23.8%)
Missing	0 (0%)	2,709 (21.6%)
Mother's occupation (ISCO)		
1 Low	4,318 (47.5%)	5,079 (40.5%)
2 Middle	1,633 (18.0%)	2,162 (17.2%)
3 High	3,145 (34.6%)	3,630 (28.9%)
Missing	0 (0%)	1,675 (13.4%)

3 Missing data analysis

3.1 Missing patterns

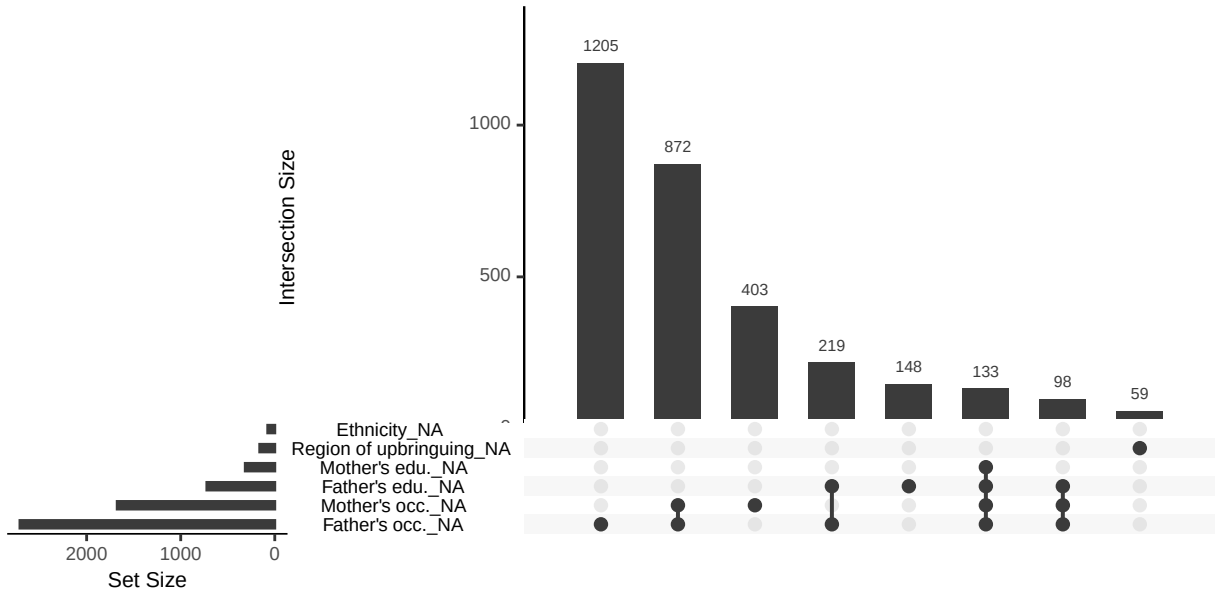


Figure 1: Missing patterns: *Left*: Marginal distribution of missing observations per variable. *Right*: Combination of missingness across cases

3.2 Differences in expected total equivalized household income between samples

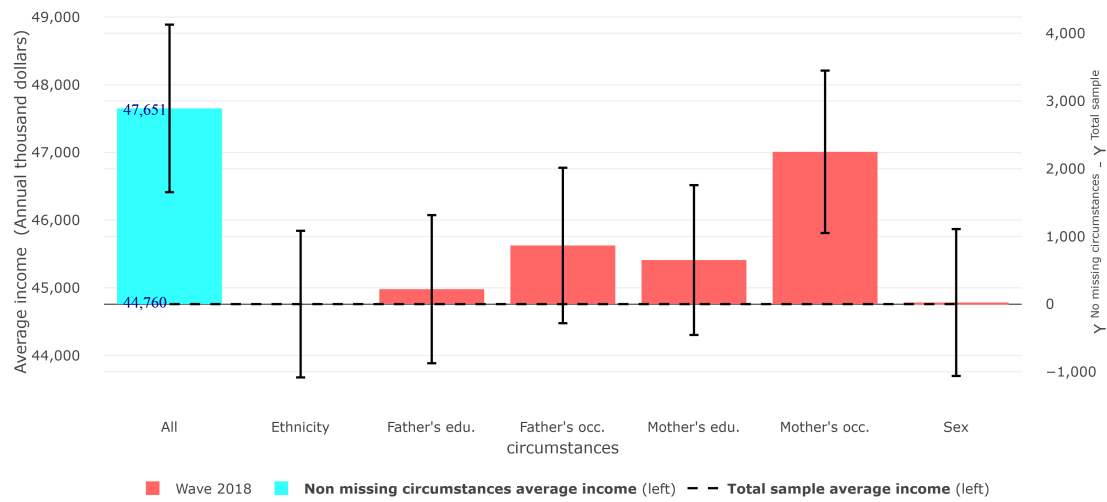


Figure 2: Differences in expected equivalized household income between the sample with non-missing circumstances and the total sample

3.3 Gini coefficient

Table 5: Gini coefficient in analysis sample and total sample

Wave	Sample	Gini	Lower bound	Upper bound	Average income
Wave 2018	Analysis sample	0.413	0.393	0.430	47,651
Wave 2018	Total sample	0.434	0.390	0.429	44,760

3.4 Differences in Gini coefficient between samples

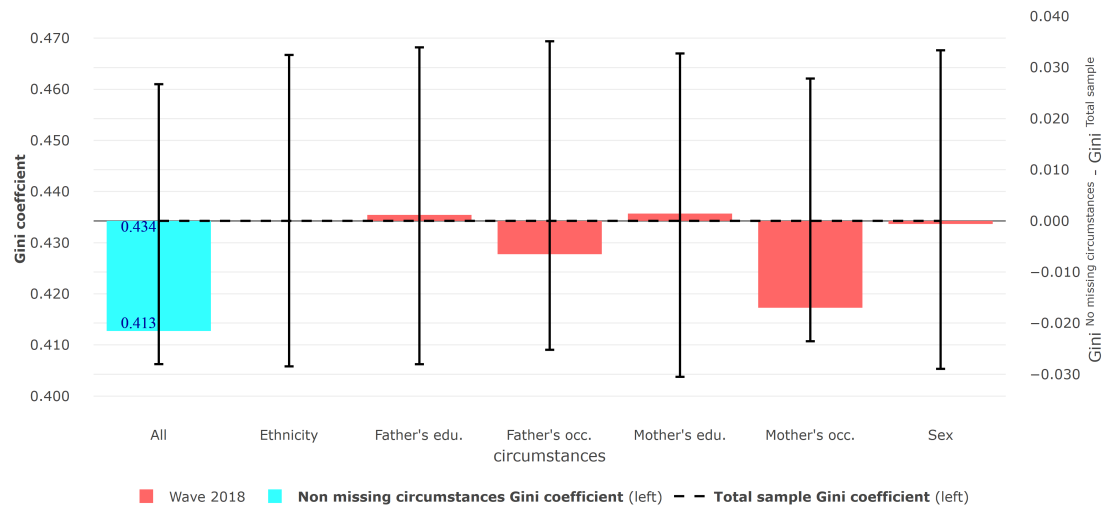


Figure 3: Differences in Gini coefficient between the sample with non-missing circumstances and the total sample